

Cosmetics Sector: Earnings Outlook (Apr-Jun)

Need strategies to grow core brands, lift margins

Based on April–May data, we think domestic cosmetics shipments likely improved versus the January–March quarter. However, with imports rising, competition in the domestic cosmetics market remains intense. China's April–May data also point to a slowing recovery in the cosmetics sales environment. Against this backdrop, we think that even if April–June results at the cosmetics companies we cover track guidance, they will do little to raise expectations for future growth. We still need to confirm whether companies have strategies to grow their core brands and improve overall margins.

- **Rohto Pharmaceutical (4527, Overweight):** We expect April–June sales growth of around 5% YoY on a constant-currency basis. We forecast operating profit growth of ¥800 million YoY to ¥12.5 billion. In Japan, we see a possible pullback from January–March new skincare launches and demand for Hada Labo ahead of price hikes, but expect Asia to drive sales and profit growth. We look to confirm whether acquired firm Eu Yan Sang is contributing to sales and profit growth. External data such as METI and point-of-sale data suggest the company's domestic skincare sales trends in April–May were broadly in line with to slightly above the market average.
- **Shiseido (4911, Neutral):** We expect April–June sales to be roughly flat YoY on a constant-currency basis. We forecast core operating profit growth of ¥5.4 billion YoY to ¥20.5 billion. We see rising profits in China and travel retail (TR), plus the elimination of losses in the Americas, as the main drivers of profit growth. Key points to watch include progress on innovative product launches and sell-out trends in China and the US. The external data mentioned above suggest that Shiseido's domestic mid- to low-priced cosmetics sales in April–May were slightly below the market average for both skincare and makeup.
- **Kosé Holdings (4922, Underweight):** We expect April–June sales growth of 6% YoY on a constant-currency basis. We expect the effects of upfront marketing investment in January–March to come through. We estimate operating profit of ¥5.6 billion, up ¥900 million YoY. Compared with 1Q, we expect YoY momentum in both sales and operating profit to improve, but do not expect the likelihood of meeting FY2026 guidance to rise. Key points to watch are sales trends at the main brands and domestic cost-structure reforms. Based on external data, we estimate that the company's April–May mid- to low-priced cosmetics sales slightly outperformed the market average for skincare but were in line to slightly below for makeup.
- **Pola Orbis Holdings (4927, Underweight):** We estimate April–June sales growth of 1% YoY. We expect sales to fall 3% YoY for POLA but rise 5% for ORBIS. We estimate that overall operating profit will decline by ¥200 million YoY to ¥3.9 billion. Key points to watch are sales trends in POLA's salon channel and ORBIS's new-customer acquisitions.

Japan Equity Research

Cosmetics and Personal Care / Paper and Packaging

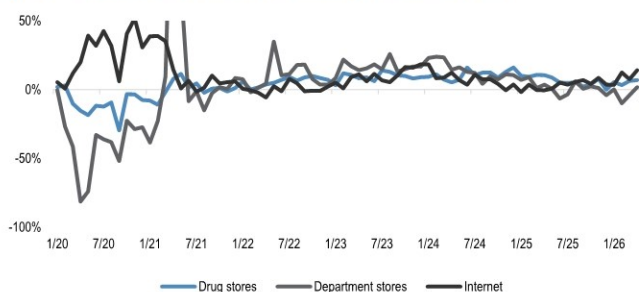
Akiko Kuwahara ^{AC}

(81-3) 6736-8617

akiko.kuwahara@jpmorgan.com

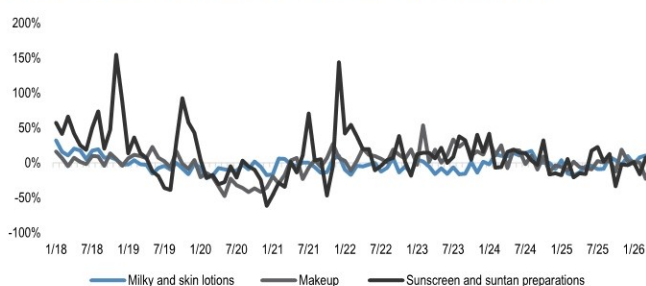
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Figure 1: Domestic Cosmetics: Sales by Channel (YoY)



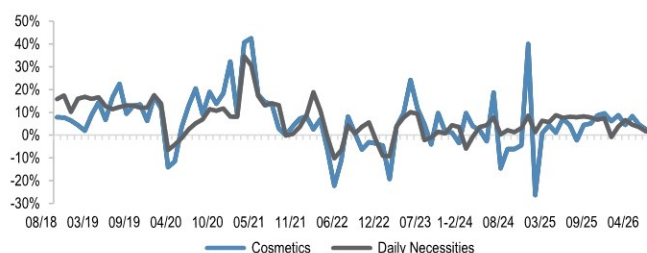
Source: METI, Japan Department Stores Association, Japan Direct Marketing Association, J.P. Morgan

Figure 2: Domestic Cosmetics: Shipments by Product (YoY)



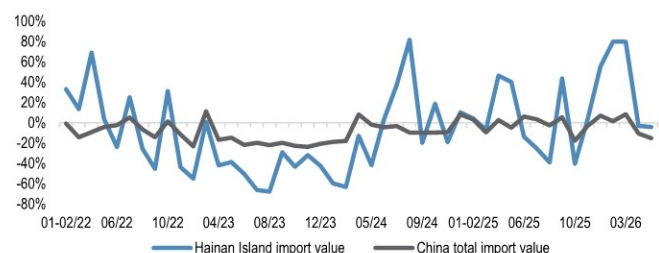
Source: METI, J.P. Morgan

Figure 3: Sales at Large Retail Stores in China (YoY)



Source: National Bureau of Statistics of China, J.P. Morgan

Figure 4: Cosmetics and Toiletries Imports in China (YoY)



Source: Haikou Customs of the People's Republic of China, J.P. Morgan

Figure 5: Cosmetics Coverage Companies: Quarterly Earnings Summary

¥ bn		FY2025				FY2026				FY2025	FY2026 E	FY2026 Co.E	FY2027 E
		1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE				
Shiseido	Sales	228.2	241.6	224.0	276.2	232.0	263.5	239.3	289.3	970.0	1,024.1	990.0	1,055.6
	Core OP	8.3	15.1	6.7	14.4	13.0	20.5	14.4	22.8	44.5	70.7	69.0	78.8
	Core OPM	3.6%	6.3%	3.0%	5.2%	5.6%	7.8%	6.0%	7.9%	4.6%	6.9%	7.0%	7.5%
	Pretax Profit	7.4	11.8	-51.7	4.8	13.3	20.8	11.9	16.2	-27.7	62.2	60.0	73.1
	NP	3.7	5.8	-53.5	3.3	8.4	16.3	7.9	10.2	-40.7	42.8	42.0	50.5
KOSÉ HD	Sales	79.0	81.5	80.0	89.7	78.3	88.3	86.6	96.3	330.2	349.5	350.0	361.9
	OP	6.7	4.7	2.3	4.9	1.0	5.6	4.1	5.3	18.5	16.0	20.0	19.0
	OPM	8.4%	5.7%	2.8%	5.5%	1.3%	6.3%	4.7%	5.5%	5.6%	4.6%	5.7%	5.3%
	RP	5.2	4.5	3.9	7.9	2.4	4.6	4.6	5.4	21.5	17.0	21.0	20.0
	NP	5.3	1.8	2.3	5.7	0.4	3.2	2.9	2.9	15.1	9.4	12.1	11.5
POLA ORBIS HD	Sales	41.3	41.9	41.7	45.3	40.8	42.2	41.3	45.3	170.3	169.6	173.0	173.0
	OP	4.1	4.1	3.7	3.7	4.9	3.9	4.3	4.7	15.7	17.8	17.3	19.3
	OPM	10.0%	9.7%	8.9%	8.3%	12.1%	9.2%	10.4%	10.4%	9.2%	10.5%	10.0%	11.2%
	RP	2.5	3.8	4.9	5.8	6.3	3.8	4.4	4.7	17.0	19.2	17.3	19.4
	NP	1.3	3.3	3.0	1.8	2.5	2.2	2.9	2.9	9.5	10.2	9.0	11.8
¥ bn		FY2025				FY2026				FY2025	FY2026E	FY2026 Co.E	FY2027E
		1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE				
Rohto Pharmaceutical	Sales	82.0	82.3	88.8	90.7	91.4	90.8	96.0	94.6	343.7	372.8	369.5	388.4
	OP	11.7	7.6	14.3	7.5	12.5	8.4	14.7	8.9	41.1	44.5	43.8	48.0
	OPM	14.3%	9.3%	16.1%	8.3%	13.7%	9.3%	15.3%	9.4%	12.0%	11.9%	11.9%	12.4%
	RP	16.1	8.5	15.2	8.1	13.0	8.3	15.6	9.7	48.0	46.6	46.1	50.2
	NP	11.8	5.9	10.6	6.0	10.1	5.0	11.8	7.8	34.2	34.7	34.5	36.9

Source: Company data, J.P. Morgan estimates.

Note 1: Shiseido uses IFRS accounting standards, while others use J-GAAP.

Note 2: Rohto Pharmaceutical has a fiscal year ending in March, while others have a fiscal year ending in December.

Figure 6: Cosmetics Coverage Companies: Forex Sensitivity (FY2026 , JPMe)

Company		Conditions	Impact on OP	Co. Forex Assumptions
4911	Shiseido	1% JPY depreciation against all currencies	Approx.+JPY500 mn	JPY150/USD
4922	KOSÉ HD	JPY1 depreciation against all currencies	Approx.+JPY200 mn	JPY156/USD
4927	POLA ORBIS HD	JPY1/AUD depreciation	NM	JPY97/AUD
		JPY1/CNY depreciation	NM	JPY21/CNY
		JPY1/USD depreciation	Approx.+JPY20 mn	NA
4527	Rohto Pharmaceutical	JPY1/USD depreciation	Approx.+JPY90 mn	JPY155/USD
		JPY1/CNY depreciation	Approx.+JPY170 mn	JPY22/CNY

Source: Company data, J.P. Morgan estimates

Note: The impact on OP is estimated by J.P. Morgan. Companies' forex assumptions are for FY2026. Shiseido's impact is for core operating profit.

Figure 7: Global Cosmetics/Personal Care Company Valuations

Bloomberg							Market Cap				P/E(x)			P/B(X)			EV/EBITDA(x)			Dividend Yiled	EPS 3-yr	ROE (%)
Company name	Ticker	Currency	FY-and	Rating	Price	Date	(\$mn)	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	CAGR	FY27E
<JAPAN>																						
KAO CORP	4452 Jp	JPY	12/2025	OW	6,078	24-Jun	17,042	20.2	18.7	17.3	2.5	2.3	2.2	9.9	9.5	9.0	2.6%	10.6%	13.0			
UNICHARM CORP	8113 Jp	JPY	12/2025	OW	916	24-Jun	10,550	19.7	18.1	16.6	1.9	1.8	1.7	9.2	8.7	8.2	2.4%	14.0%	10.4			
SHISEIDO CO LTD	4911 Jp	JPY	12/2025	N	2,530	24-Jun	6,255	24.6	19.4	17.4	1.6	1.6	1.5	10.0	9.1	8.6	2.4%	NM	8.0			
KOSE HD	4922 Jp	JPY	12/2025	UW	5,060	24-Jun	1,895	24.7	21.5	19.5	1.0	1.0	1.0	9.0	7.8	7.3	2.9%	-0.6%	4.8			
POLA ORBIS HD	4927 Jp	JPY	12/2025	UW	1,252	24-Jun	1,773	27.1	23.0	21.8	1.7	1.7	1.7	8.9	8.4	8.0	4.2%	10.3%	7.5			
LIION CORP	4912 Jp	JPY	12/2025	OW	1,666	24-Jun	2,881	18.0	17.6	16.1	1.4	1.3	1.2	7.6	7.5	7.0	2.0%	1.3%	7.5			
ROHTO PHARM	4527 Jp	JPY	03/2026	OW	2,362	24-Jun	3,448	15.1	14.5	13.9	1.7	1.5	1.4	8.9	8.6	8.1	2.0%	3.9%	10.9			
DAIO PAPER CORP	3880 Jp	JPY	03/2026	N	902	24-Jun	942	13.7	9.0	10.3	0.6	0.6	0.6	7.2	7.1	7.1	1.7%	NM	5.6			
PIGEON CORP	7956 Jp	JPY	12/2025	N	1,972	24-Jun	1,483	24.4	22.1	20.2	2.8	2.8	2.7	10.7	10.1	9.5	3.9%	10.9%	12.8			
KOBAYASHI PHARM	4967 Jp	JPY	12/2025	NC	5,422	24-Jun	2,616	38.3	29.3	23.9	1.9	1.9	1.8	15.8	13.2	11.5	2.0%	66.4%	6.5			
I-NE CO LTD	4933 Jp	JPY	12/2025	NC	1,266	24-Jun	139	7.2	12.6	11.0	1.0	0.9	0.8	3.3	3.2	3.1	1.3%	-1.3%	13.6			
Average								21.2	18.7	17.1	1.6	1.6	1.5	9.1	8.5	8.0	2.5%	12.8%	9.1			
<Overseas>																						
PROCTER & GAMBLE	pg us	USD	06/2025	OW	152.0	24-Jun	354,040	22.1	21.5	20.3	6.6	6.5	6.3	15.9	15.5	14.7	2.8%	3.9%	31.1			
KIMBERLY-CLARK CORP	kmb us	USD	12/2025	NR	106.7	24-Jun	35,428	14.2	14.2	13.3	14.7	8.1	7.1	11.1	8.6	7.6	4.8%	9.7%	75.9			
ESTEE LAUDER COMPANIES-CL A	el us	USD	06/2025	OW	83.3	24-Jun	30,127	34.4	26.2	21.7	7.6	6.7	5.9	13.9	12.2	11.0	1.7%	NM	29.0			
COTY INC-CL A	coty us	USD	06/2025	N	2.0	24-Jun	1,717	8.0	5.7	5.0	0.5	0.5	0.5	6.0	6.0	5.9	0.2%	NM	7.9			
JOHNSON&JOHNSON	jnj us	USD	12/2025	N	241.0	24-Jun	580,139	20.8	18.9	17.1	6.5	5.7	5.0	15.9	14.8	13.7	2.2%	8.1%	33.6			
ESSITY AKTIEBOLAG-B	ESSITYB	SEK	12/2025	UW	275.9	24-Jun	19,281	14.5	13.4	12.5	2.1	1.9	1.8	8.8	8.3	7.9	3.3%	6.4%	14.4			
COLGATE-PALMOLIVE CO	cl us	USD	12/2025	OW	91.9	24-Jun	73,521	24.1	22.8	21.3	198.0	96.2	65.8	15.8	15.1	14.4	2.3%	17.9%	631.2			
CHURCH & DWIGHT CO INC	chd us	USD	12/2025	N	98.7	24-Jun	23,379	26.3	24.6	22.9	5.3	4.9	4.6	17.4	16.6	15.7	1.3%	12.3%	22.3			
UNILEVER PLC	ulvr ln	GBP	12/2025	OW	4,544.0	24-Jun	74,381	16.6	15.9	14.9	7.0	6.5	5.9	11.8	11.5	11.1	3.7%	-6.4%	42.5			
RECKITT	rlt ln	GBP	12/2025	N	4,778.0	24-Jun	23,053	14.3	13.4	12.5	4.9	4.8	4.6	10.2	9.7	9.3	4.5%	-7.7%	32.8			
L'OREAL	or fp	EUR	12/2025	N	386.7	24-Jun	181,808	28.4	26.2	24.3	5.5	5.0	4.6	18.5	17.3	16.3	2.0%	11.5%	21.1			
HENGAN INTL	1044 hk	HKD	12/2025	NC	21.8	24-Jun	3,216	8.6	8.2	8.1	0.9	0.9	0.9	5.7	5.5	5.4	7.4%	3.7%	10.7			
DABUR INDIA LTD	daur ln	INR	03/2026	N	424.1	24-Jun	9,074	36.1	32.3	28.0	6.2	5.8	5.4	26.5	23.9	20.7	1.9%	12.3%	18.6			
LG HOUSEHOLD & HEALTH CARE	051900 ks	KRW	12/2025	UW	223,000	24-Jun	2,508	20.7	16.1	14.0	0.7	0.7	0.6	4.6	4.2	3.9	1.4%	NM	3.9			
AMOREPACIFIC CORP	090430 ks	KRW	12/2025	OW	96,300	24-Jun	4,319	17.4	15.0	13.5	1.2	1.1	1.1	7.2	6.6	6.1	1.6%	28.6%	7.1			
GODREJ CONSUMER PRODUCTS	gcpl ln	INR	03/2026	OW	1,021	24-Jun	12,595	43.4	37.2	33.1	7.8	7.2	6.5	30.0	26.4	23.6	1.5%	NM	19.7			
Average								21.7	19.0	17.6	16.3	9.7	7.6	13.7	12.6	11.7	2.6%	13.2%	59.4			

Source: Bloomberg Finance L.P., J.P. Morgan

Note: All estimates are based on Bloomberg consensus estimates. Ratings by J.P. Morgan. NC = Not Covered. EPS 3yr CAGR is for the three years starting with the current fiscal year.

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